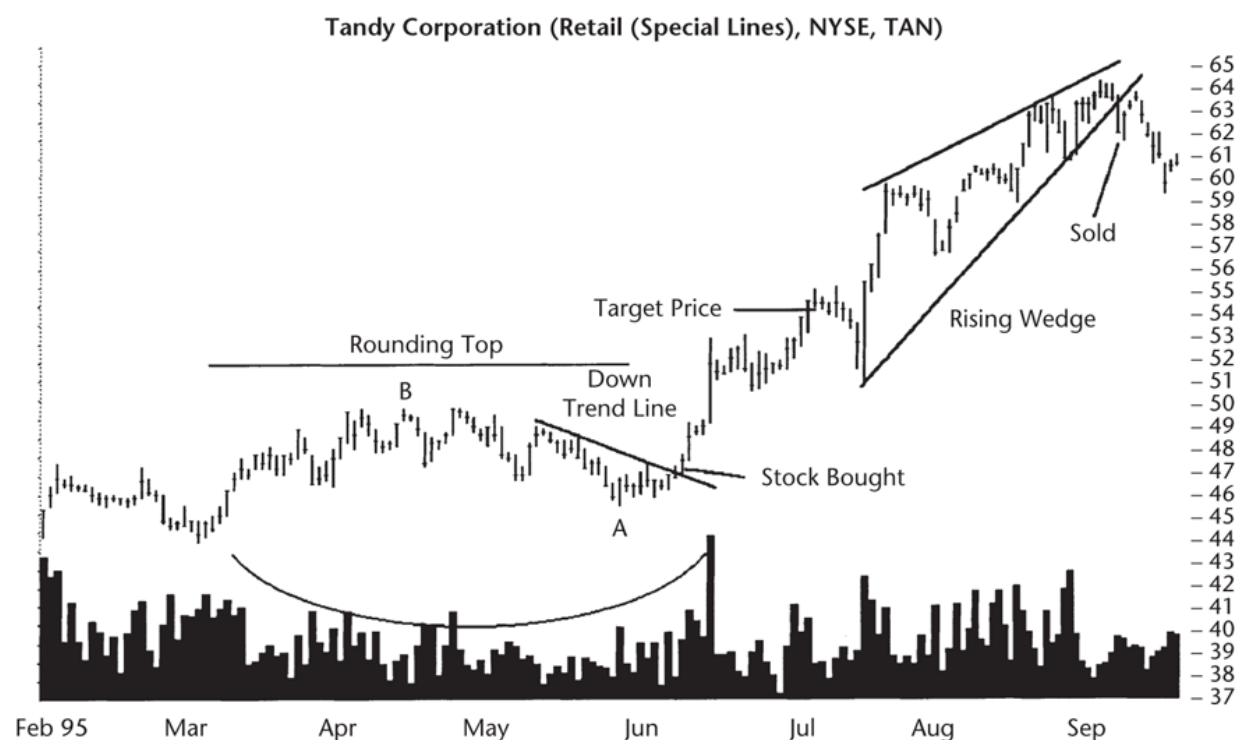


In early September, “I became concerned because volume declined dramatically.” Her research showed a tendency for a severe drop in volume just before a rising wedge breakout, so the day after price pierced the lower wedge trendline, “I sold the stock at 62. Glad I did, too.”

Her analysis was perfect. After she sold the stock, price pulled back to the lower wedge trendline and hung on for 2 more days before tumbling. At the start of the New Year, the stock reached a low of 34.13, or 45% below where her sale price.



**Figure 56.4** A rounding top with a rising wedge. As described in the Sample Trade, this rounding top turned into a profitable opportunity for Sharon.

“I need the cash because I’m thinking of taking up fencing.”

“Construction?” I asked. “You’re starting a new business?”